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NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 26.04.2018.

PRESENT: 1. Hon'ble member (J) **Shri Rajeswara Rao Vittanala,**
2. Hon'ble member (T) **Dr. Ashok Kumar Mishra,**

CP/CA No	Purpose	Section	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CP(CAA) No.81/BB/ 2017	For hearing	230/232	Objectwin Technology India Pvt. Ltd. & Another	J. Sagar Associates		Sinchana MR from ROC & RD

SL. NO. **NAME (IN CAPITAL) & PHONE NUMBER SIGNATURE** **REPRESENTATION TO WHOM**

1. Sinchana M.R (9945320087) Sinchana M.R — ROC/RD

2. PERIKAL. K. ARJUN. 9341210037 — Petitioner.

Shri Perikkal K. Arjun for the petitioner and Smt. M.R. Sinchana, Standing Counsel for ROC/RD present.

Heard counsel on both sides.

Orders reserved.

MEMBER (T) MEMBER (J)

IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

IA No. 167 of 2018 in
CP (CAA) No.81/BB/17

Under Section 391 to 394 of Companies Act, 1956 &
Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF

OBJECTWIN TECHNOLOGY INDIA PRIVATE LIMITED
AND
OBJECTWIN INTERNATIONAL PRIVATE LIMITED

For the Petitioner (s) 1. Mr. Arjun K. Perikal
J. Sagar Associates,
Advocates & Solicitors
Level 3, Prestige Obelisk,
No. 3, Kasturba Road, Bengaluru-560051

CORRIGENDUM

With respect to the Order dated 26th April, 2018 in the above stated matter, the following corrigendum is issued as per the Bench Order dated 05.07.2018:

1. The name of the Applicant No. 2 is hereby corrected to "ObjectWin International Private Limited" in Line 5 of Paragraph 1 on Page 1, Line 1 of Paragraph 1 on Page 2, Line 4 of Paragraph 2 on Page 4, Line 4 of sub paragraph (a) of Paragraph 2 on Page 5, Line 3 of Paragraph 3 on Page 7, Line 3 of Paragraph 4 on Page 7, Line 3 of Paragraph 5 on Page 7, and Line 4 of Paragraph 4 on Page 8.
2. The term "of the demerged undertaking" is inserted before 'ObjectWin Technology India Private Limited (Transferor Company) on Page 7 at paragraphs 3 and 4.
3. This may be read as part and parcel of the Order dated 26.04.2018.

Deputy Registrar,
NCLT Bengaluru Bench

Date: 05th July 2018

IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CP (CAA) No.81/BB/17

Under Section 391 to 394 of Companies Act, 1956 &
Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF

OBJECTWIN TECHNOLOGY INDIA PRIVATE LIMITED
AND
OBJECTWIN INTERNATIONAL PRIVATE LIMITED

Order delivered on: 26th April, 2018

Coram: Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s)

1. Mr. Arjun K. Perikal
   J. Sagar Associates,
   Advocates & Solicitors
   Level 3, Prestige Obelisk,
   No. 3, Kasturba Road, Bengaluru-560051
2. Smt Sinachana M.R, Standing Counsel,
   Central Government

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 05.12.2017, 22.01.2018, 22.02.2018, 08.03.2018, 21.03.2018, 10.04.2018

COMMON ORDER

This Company Petition was filed on behalf of the Petitioner Companies under Section 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangement and Amalgamation) Rules, 2016, praying to order for sanctioning of the scheme of Arrangement whereby Objectwin Technology India Private Limited are proposed to be demerged into Objectwin Technology International Private Limited and shall be binding upon all the Shareholders and Creditors of the Companies.

The averments made in the Company Petitions are briefly described hereunder:

The Petitioner Companies seek an order for sanctioning the Scheme of Arrangement of Objectwin Technology India Private Limited (Demerged Company),

Objectwin Technology International Private Limited (Resulting Company). The Scheme of Arrangement is shown as **Annexure-A.**

The Petitioner Company No.1/Demerged Company was incorporated on 22nd May, 2006 under the name and style of Objectwin Technology India Private Limited with the Registrar of Companies, Karnataka vide CIN bearing No. U72200KA2006PTC039518. The Registered office of the Petitioner Company No.1/Transferor Company situated at Kalyani Magnum IT Park, B Wing, 165/2, 6th Floor, Doraisani Palya, IIM Post, Bannerghatta Road, Bengaluru-560076.

The main objects of the Petitioner Company No.1/Transferor Company is to carry on business in India and abroad of planning, engineering, designing, developing, creating, engage in, testing, improving, marketing or otherwise distribute, sell, license, install, alter, code, decode, reverse engineer, commission, import, export all kinds of software, software applications, software solutions and programmes, software replication, embedded software, information technology, systems integration, information processing and programmes of any and all kinds including but not limited to internet and web services, networks, entertainment, web designing, online services, search engines, portals, servers and all such other activities and services related to internet and the web or otherwise deal in software development, software production support, remote maintenance, electronic commerce activities and services in various forms including but not restricted to voice, email, chat and collaborative browsing, application service support, technical support, content development, website services, hosting web portals of all types, web programming and web designing, Internet Service Providers (ISP), setting up Internet Service Centres, virtual private networks, mobile networks as also training, educating, development of internet software and products or services related to internet networks and local and long distance communication networks. The copy of Certificate of Incorporation, Memorandum and Articles of Association of the Petitioner/Transferor Company No.1 is shown as **Annexure-B.**

The authorised share capital of the Petitioner Company No.1/Transferor Company as on 31st March, 2016 is Rs.10,00,00,000/- divided into 1,00,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.18,88,030/- divided into 1,88,803 equity shares of Rs.10/- each. The Audited Balance Sheet of the Petitioner Company No.1/Transferor Company is shown as **Annexure-C.**

The Petitioner Company No.2/Resulting Company was incorporated on 03rd July, 2017 under the name and style of Objectwin International Private Limited with the Registrar of Companies, Karnataka vide CIN bearing No. U72900KA2017PTC104319. The Registered office of the Petitioner Company No.2/Resulting Company is situated at Kalyani Magnum IT Park, B Wing, 165/2, 6th Floor, Doraisani Palya, IIM Post, Bannerghatta Road, Bengaluru-560076.

The main objects of the Petitioner Company No.2/Resulting Company is to carry on business in India and abroad of planning, engineering, designing, developing, creating, engage in, testing, improving, marketing or otherwise distribute, sell, license, install, alter, code, decode, reverse engineer, commission, import, export all kinds of software, software applications, software solutions and programmes, software replication, embedded software, information technology, systems integration, information processing and programmes of any and all kinds including but not limited to internet and web services, networks, entertainment, web designing, back office (BPO), online services, search engines, portals, servers and all such oilier activities and services related to internet and the web or otherwise deal in software development, software production support, remote maintenance, electronic commerce activities and services in various forms including but not restricted to voice, email, chat and collaborative browsing, application service support, technical support, content development, website services, hosting web portals of all types, web programming and web designing, Internet Service Providers (ISP), setting up Internet Service Centres, virtual private networks, mobile networks as also training, educating, development of internet software and products or services related to internet networks and local and long distance communication networks. The copy of Memorandum and Articles of Association of the Petitioner Company No.2/Resulting Company No.1 is shown as **Annexure-E.**

The Petitioners have averred that the Petitioner No. 2 is having authorised share capital of Rs. 1,00,00,000/- (Rupees One Crore only) divided into 10,00,000 equity shares of Rs. 10/- each. It is further averred that the subscribed share capital of the Petitioner Company No. 2 is 1,00,000/- (Rupees One Lakh) divided into 10,000 equity shares of Rs. 10/- each. They have submitted the unaudited financial statement for the first year, copy of which has been annexed to the Petition as **Annexure-D**.

It is further averred that the proposed demerger will benefit all the companies in the following manner:

i) The Demerged Undertaking has its own independent identity and have future growth potential.

ii) The capital and cash flow requirements and human resource requirements of the Demerged Undertaking is different from that of the remaining business and requires a more focused approach for further growth to unlock the intrinsic value.

iii) It will provide focused leadership and management attention to the Demerged Undertaking.

iv) It shall restructure the companies controlled by a common shareholder to segregate a) exports business division, and the b) Domestic Business Division to enable better and more efficient management, control and running of its various businesses in a focussed manner and offering opportunities to the management of companies to vigorously pursue growth and expansion of the respective divisions and in the future, if required, enable the remaining business to be sold to third parties.

The Board of Directors of the Petitioner Companies have approved and adopted a Scheme of Arrangement at its meeting held on 21st July, 2017 by virtue of which Objectwin Technology India Private Limited (Transferor Company) are proposed to be demerged into Objectwin Technology International Private Limited (Resulting Company) subject to confirmation. A copy of the Board Resolution of Petitioner Companies dated 21st July, 2016 in approving and adopting the Scheme of Arrangement is shown as **Annexure-F & G.**

The Petitioner Companies had filed CA(CAA) No.53/BB/17 before this Tribunal to dispense with the convening of meeting of Shareholders and Secured Creditors of the Petitioner Companies and convening of meeting of Unsecured Creditors of Petitioner Company No.1. This Tribunal vide separate orders dated 3rd November, 2017 allowed the application and dispensed with convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Companies. Copy of the order passed by this Tribunal in CA (CAA) No.53/BB/17 is shown as **Annexure-H.**

This Tribunal vide order dated 5th December, 2017 in the present petition issued notice to Regional Director, Registrar of Companies, Income Tax Department, Official Liquidator and to other sectoral regulators and also directed Petitioner/Transferor Company to have an advertisement be published in the "The Hindu" and "Udayavani" newspapers. A Memo dated 10th January, 2018 has been filed by the Petitioner Companies furnishing the newspaper publications.

The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 21st February, 2018 stating that the Directorate has no objection to the Scheme subject to the Petitioner companies complying with the following:

a. The petition filed is in respect of a scheme of Demerger wherein the Export Business Division (ERP) of M/s Objectwin Technology India Private Limited is to be demerged into M/s Objectwin Technology International Private Limited (Resultant Company). The Petitioner Companies have not submitted the Statement of Assets and Liabilities pertaining to the demerged undertaking and the remaining undertaking of the Demerged Company. The Petitioner Company shall file the Statement of Assets and Liabilities in the MCA21 portal as well as on file of the Hon'ble NCLT before the Scheme is eventually disposed of.
b. The Appointed Date is not mentioned in the Scheme and the Hon'ble NCLT may look into the same.
c. The entire shareholding of the Demerged Company is held by M/s Objectwin Technology Inc., US. The scheme proposes 1:1 equity shares to the shareholders of Demerged Company by the Resultant Company. In such case, the Resultant Company has to comply with the compliance of FEMA for issue of new equity shares to the foreign shareholders of the Demerged Company.

The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies further observed that the Transferor/Demerged Company have not filed GNL-1 e-form and that there are no prosecutions, complaints

and technical scrutiny pending in the office of the Registrar of Companies against the Petitioner Companies.

Director of the Petitioner Company has filed Affidavit dated 20th March, 2018 in furnishing response to the same, which are as follows:

1. It is submitted that a copy of the Statement of assets and liabilities pertaining to the demerged undertaking and the remaining undertaking of the Demerged Company has been filed in the MCA21 portal and annexed to the Affidavit.
2. It is submitted that the Appointed Date in the scheme is the date on which the order sanctioning the scheme is filed with the Registrar of Companies as required under the Act or such other date as may be approved by the NCLT. However, it was further submitted that the Appointed Date may be fixed to be 1st April 2018.
3. It is submitted that the allotment of shares to the foreign shareholder of the Demerged Company shall be in compliance with section 9 of the Foreign Exchange Management (Transfer or Issue of Security by a Person Resident Outside India) Regulations, 2017 and the intimation/reporting as per FEMA regulations will be made upon allotment of shares.

The Counsel for the Petitioner Companies vide Memo dated 05.12.2017 has furnished the certificate of the Chartered Accountant dated 3rd August 2017 stating that the accounting treatment detailed in the aforesaid Scheme is in compliance with Accounting Standard specified under Section 133 of the Companies Act, 2013. The Certificate of the Charted Accountant is shown as **Annexure-A** to the Memo.

Further the Director of the Petitioner Companies in his Affidavit dated 8th December, 2017 stated that the notice of this Company Petition is to be served on the Regional Director, the Registrar of Companies and the Income Tax assessing officer of the Petitioner Company and that the Petitioner Company is not governed by any other regulatory authority and that there is no further requirement to issue notices to any other regulatory body for obtaining sanction of the said scheme of amalgamation.

After hearing the counsel for the Petitioner Companies and also considering the materials on records the scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved.

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme as above, we further clarify that, this order should not be construed as an order in any way of granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specially required under any law.

The whole of the property, rights and powers of the Objectwin Technology India Private Limited (Transferor Company) be transferred without further act or deed to the Objectwin Technology International Private Limited (Resulting Company) and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Resulting Company for all the state and interest of the Transferor Company therein but subject nevertheless to all charges now affecting the same; and

All liabilities including taxes and charges, if any and duties of the Objectwin Technology India Private Limited (Transferor Company) be transferred without further act or deed to the Objectwin Technology International Private Limited (Resulting Company) and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Resulting Company; and

All proceedings now pending by or against the Objectwin Technology India Private Limited (Transferor Company), if any, be continued by or against the Objectwin Technology International Private Limited (Resulting Company) and;

The tax implications, if any arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the respective Tax Authority shall be binding.

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Arrangement to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements And Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Affidavit of Director of the Petitioner Company filed on 20th March, 2018 i.e., **1st April, 2018** after complying with the following observations made by the Registrar of Companies:

a) The Resultant Company has to comply with the compliance of FEMA for issue of new equity shares to the foreign shareholders of the Demerged Company.
b) The Petitioner Company shall file the Statement of Assets and Liabilities in the MCA21 portal.

The Petitioner Companies should ensure compliance of his affidavit dated 20th March, 2018.

The Objectwin Technology India Private Limited (Transferor Company) or its authorised signatory is directed that after the completion of the process of Arrangement to handover the possession of the books of accounts and other relevant documents to Objectwin Technology International Private Limited (Resulting Company) respectively for the purpose of Section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

26/4/2018

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL

III.